

ARTICLE



The consequences of expanded audit reports for small and risky companies

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Abstract

The United Kingdom mandated expanded audit reports in two waves, starting in 2013 and 2017, respectively. Prior studies of the first wave, which included large and highly regulated companies, concluded that expanded reports have limited incremental value. We focus on the second wave, which included companies listed on the Alternative Investment Market (AIM). The AIM is characterized by emerging companies that are smaller, riskier, and subject to lighter regulatory requirements and to private monitoring. We examine whether investors and other stakeholders benefit from expanded reports in this setting. We document that AIM companies have shorter expanded reports and fewer key audit matters. Next, we demonstrate that these reports have negligible incremental information value for investors or consequences for the quality and cost of audits. Finally, although we find that some variations in the expanded reports' content are associated with investor reactions to the annual report and with audit fees, variations in external monitoring and company size do not play an incremental role. By focusing on a set of companies with weaker information environments, our findings help to extend the conclusions from prior studies about the limited incremental value of expanded reports.

KEYWORDS

Alternative Investment Market, audit fees, audit quality, audit report, key audit matters, market reaction

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Les retombées attribuables aux rapports d'audit élaborés pour les petites entreprises risquées

Résumé

Au Royaume-Uni, les rapports d'audit élaborés ont été rendus obligatoires en deux phases, soit à partir de 2013 et de 2017. Des études antérieures portant sur la première phase, visant de grandes entreprises fortement réglementées, ont conclu que les rapports élaborés apportaient peu de valeur ajoutée. Les auteurs s'intéressent à la deuxième phase, visant des entreprises cotées sur l'Alternative Investment Market (AIM). L'AIM attire des entreprises émergentes, plus petites, plus risquées, soumises à des exigences réglementaires moins strictes et à un contrôle privé. Dans ce contexte, les auteurs examinent si les investisseurs et les autres parties prenantes bénéficient des retombées liées aux rapports élaborés. Ils constatent que les rapports élaborés des entreprises de l'AIM sont moins étoffés et contiennent moins de questions clés de l'audit. Ensuite, ils démontrent que ces rapports élaborés apportent peu d'informations supplémentaires aux investisseurs ou comportent des retombées négligeables sur la qualité et le coût des audits. Enfin, bien que les auteurs observent que certaines variations du contenu des rapports élaborés sont liées aux réactions des investisseurs au rapport annuel et aux honoraires d'audit, les variations du contrôle externe et de la taille de l'entreprise ne jouent pas un rôle déterminant. En se concentrant sur un ensemble d'entreprises dont l'environnement informationnel est moins favorable, les résultats obtenus viennent appuyer les conclusions des études antérieures sur le peu de valeur ajoutée des rapports élaborés.

MOTS-CLÉS

Alternative Investment Market, honoraires d'audit, qualité de l'audit, questions clés de l'audit, rapport d'audit, réaction du marché

1 | INTRODUCTION

The UK Financial Reporting Council (FRC) mandated the adoption of expanded audit reports in two waves, starting in 2013 and 2017, respectively.¹ This staggered approach offers an opportunity to examine the regulation's effect on two distinct groups of companies. The first wave included large and highly regulated companies listed on the Premium segment of the Main Market (hereafter, Premium companies) of the London Stock Exchange (LSE).² The second wave included emerging companies listed on the LSE Alternative Investment Market (AIM).

¹Throughout the paper, we refer to audit reports that include additional disclosures beyond the "pass/fail" format, indicating compliance with the applicable financial reporting framework, as "expanded audit reports" or "expanded reports."

²The Main Market has two segments: Standard and Premium. They are similar, except that the Standard segment is used primarily by foreign (non-UK) issuers. The Standard segment was not part of the 2013 wave of adopters and was not included in early studies of UK expanded reports. For a more detailed description of the LSE segments, refer to <https://www.londonstockexchange.com/raise-finance/equity/compare-markets-listing-equity>.

These companies are smaller, riskier, and subject to lighter regulatory requirements and to private monitoring. However, the companies in both waves comply with the same financial reporting rules and auditing standards (beyond the expanded report requirements) and operate in the same economic and legal environment. In this study, we first present descriptive evidence on differences between the expanded reports of Premium and AIM companies. We then investigate the association between the adoption of expanded reports in the AIM and changes in investor reactions to annual reports that include the auditor report, audit quality, and audit fees. Finally, we examine whether variations in the report's content, external monitoring, and company size are incrementally associated with the consequences of expanded reports.

The AIM is one of the most popular growth markets in the world.³ The mission of this market is to provide access to capital to small and medium-sized fast-growing companies. It started with 10 companies in 1995 and grew to more than 750 companies by 2023, including equity and debt issuers, with a total market capitalization of approximately £80 billion. Most listings on the AIM are small—the median market capitalization is £25 million—but more than 30 AIM companies have market capitalizations above £500 million.⁴ The AIM has successfully funded many companies interested in lower-cost alternatives to large exchanges, including ASOS, Domino's Pizza, and Mears Group. However, investors, academics, and regulators emphasize the low financial reporting quality and underperformance of AIM companies (FRC, 2015, 2018; Gerakos et al., 2013). For instance, in the 20-year period between 1995 and 2015, investors lost money on 72% of the AIM companies.⁵ Moreover, the AIM has some unique institutional features, including private oversight by exchange-nominated advisers (Nomads), variation in Big 4 and non-Big 4 auditors and in industry specialist and non-specialist auditors, comparatively weaker corporate governance requirements that allow for the voluntary adoption of governance codes, and substantial variation in company size.

Expanded reports are meant to increase the information content and usefulness of audit opinions, strengthen external monitoring of management and auditors, and foster a more open conversation between auditors and users of financial reports (Minutti-Meza, 2021). Prior studies of the UK's first wave, which included large and highly regulated companies, conclude that expanded reports provide little incremental information to investors and that the new disclosures did not increase audit costs (Gutierrez et al., 2018; Lennox et al., 2023; Reid et al., 2019). However, findings related to the effects of expanded reports on audit quality are mixed (Gutierrez et al., 2018; Reid et al., 2019).⁶ We determine whether the conclusions of these studies can be generalized to relatively smaller and riskier firms (i.e., those in the AIM). Furthermore, we examine the incremental effect of variation in size and external oversight, extending our understanding of audit opinions in growth markets.

We examine a sample of 327 AIM nonfinancial companies with data available for 2 years before and 2 years after the July 2017 regulatory cut-off date (i.e., 1,308 firm-year observations). Using this sample, we conduct pre-post and cross-sectional analyses. We also use a control sample of 240 Premium nonfinancial companies with data available 2 years before and

³The AIM shares features with other markets with low regulation, such as the Over-The-Counter Quotation Bureau (OTCQB) in the United States, the Toronto Stock Exchange (TSX) Venture Exchange in Canada, and the Growth Enterprise Market in Hong Kong (Grant Thornton, 2020).

⁴Source: <https://docs.londonstockexchange.com/sites/default/files/reports/AIM%20factsheet%20September%202023.xlsx>.

⁵Source: <https://www.ft.com/content/ea2bd724-140c-11e5-abda-00144feabdc0>. The higher risk of AIM firms is also reflected in the difference in buy-and-hold returns of the AIM all-shares and FTSE 350 portfolios for the four-year period centered on July 2017, which were 20.97% and 7.71%, respectively (see Figure S1A of Appendix S1 in the Supporting Information).

⁶More recent studies show that expanded reports had an impact on private lending (Porumb et al., 2021), and that the new report format increased the readability, evaluative content, visual aids, and specificity of audit opinions (Seebeck & Kaya, 2022). Furthermore, some evidence points to an association between cross-sectional variation in the specificity of key audit matters (KAMs) and investor reactions to expanded reports (Seebeck & Kaya, 2022). Other studies of the UK's experience show that KAMs are associated with client and auditor characteristics (Sierra-Garcia et al., 2019), partner styles (Rousseau & Zehms, 2023), and tax issues (Lynch et al., 2023). A recent study in the US setting finds that critical audit matters do not provide incremental information to the market (Burke et al., 2023). See Minutti-Meza (2021) for a more extensive review of the literature, including other archival and experimental studies.

2 years after July 2017 (i.e., 960 firm-year observations). Using both segments, we conduct difference-in-difference (DiD) analyses to mitigate the confounding effects of any contemporaneous changes in the UK economy that affect all companies, regardless of their listing venue (Gutierrez et al., 2018). In additional analyses, we utilize a matched sample of US companies as an alternative control group.

We provide novel descriptive evidence on the differences between the expanded reports of AIM and Premium companies. Notably, although KAMs are intended to capture financial reporting and audit risks, the risky AIM companies have shorter reports and fewer KAMs than Premium companies (2.5 vs. 3.7 KAMs). This finding suggests that the length and number of KAMs are not straightforward proxies for financial reporting and audit risk faced by investors. Next, there is a considerably lower overlap between KAMs and the financial reporting risks discussed by audit committee reports for AIM companies than for Premium companies (17% vs. 82% overlap). Finally, our descriptive analysis confirms that AIM companies are comparatively riskier and subject to lower levels of monitoring. For instance, 54% of the AIM company-year observations have losses and only 37% engage a Big 4 auditor, whereas 17% of the Premium company-year observations have losses and 95% engage a Big 4 auditor.

Moving to our main results, in our pre-post and DiD analyses, we do not find evidence of an association between the adoption of expanded reports by AIM companies and changes in the informativeness of annual reports or audit quality. Our market reaction and audit quality results are consistent with the findings in Gutierrez et al. (2018) and Lennox et al. (2023). Next, in our pre-post analyses of audit fees, we find a statistically significant increase in fees. However, in our DiD analyses, which control for market-wide changes in the cost of audits over time, we do not find evidence of an increase in fees. These results are consistent with the findings in Gutierrez et al. (2018), Reid et al. (2019), and Lennox et al. (2023).

We perform several cross-sectional tests, focusing on companies listed on the AIM, pre-versus post-adoption of the 2017 rules. First, we investigate the incremental effect of expanded report content, including (1) total report length, (2) number of KAMs, (3) KAMs that do not overlap with those included in the audit committee report, and (4) level of materiality. Although these tests do not produce a conclusive pattern, we find some evidence that variation in expanded report content may be relevant for investors and auditors in the AIM. Next, we investigate the incremental effects of variation in external monitoring (i.e., Nomad reputation, auditor size, auditor industry specialization, and company governance code) and company size. Ex ante, it is unclear whether companies' external oversight and visibility are complements or substitutes for expanded reports' disclosures. However, in our analyses, we do not find conclusive evidence that these factors play a substantial incremental role.

Our study is among the first to focus on the expanded reports of small and risky companies that are subject to light regulation and private monitoring. By focusing on a set of companies with weaker information environments, our findings help to extend the conclusions of prior studies about the limited incremental value of expanded reports. Next, our cross-sectional analyses suggest that company size and external monitoring do not substantially affect the report's consequences, contributing to a growing literature on the consequences of expanded reports that include key or critical audit matters (Minutti-Meza, 2021).

Our study also complements a line of research on the role of auditors in the AIM. For instance, Clatworthy and Peel (2007) and Florou et al. (2020) use data from years before expanded reports to examine the determinants of audit fees for Premium and AIM companies, as well as the effects of the FRC's oversight of these companies. Furthermore, this study contributes to the line of research on the consequences of corporate governance for audit outcomes (e.g., Abbott et al., 2004; Bratten et al., 2022). Finally, because there were technical changes in standards between the two waves of adoption in the United Kingdom, where the second wave started issuing reports that included KAMs based on UK standards that were converged with IAASB rules, we also provide evidence on the consequences of these rules.

2 | BACKGROUND AND RESEARCH QUESTIONS

2.1 | AIM: Institutional background and prior research

The LSE launched the AIM in June 1995, and this market grew rapidly in following years. The AIM has attracted the attention of companies interested in lower-cost alternatives to large exchanges (Doukas & Hoque, 2016). However, two recent high-profile scandals illustrate this market's riskier nature and the importance of auditors as a monitoring mechanism for high-growth firms listed on the AIM. First, Conviviality PLC, which was listed on the AIM since 2013, collapsed in March 2018 due to a £15 million downward adjustment to its forecasted earnings, including a £5 million spreadsheet error. Days later, it also revealed that it had an unexpected £30 million tax bill due. Conviviality was audited by Grant Thornton until 2015 and KPMG in 2016 and 2017. Both accounting firms faced substantial fines from the FRC for audit deficiencies (Grant Thornton's fine = £1.95 million, and KPMG's fine = £3 million).⁷ Next, Patisserie Valerie PLC, which listed on the AIM in 2014, announced an impending restatement and the need for an immediate capital injection in 2018. The company's revenue and cash were overstated, and its liabilities were understated. Grant Thornton, which audited the company from 2007 through 2018, received a fine of £2.3 million from the FRC.⁸

The AIM has attracted the attention of researchers in accounting, law, and finance. Some studies highlight the benefits of its light regulatory approach, whereas others are skeptical about the performance outlook of companies in this market.⁹ One stream of studies examines the characteristics of AIM companies and the factors that influence their decision to raise capital in this market. Doukas and Hoque (2016) document that Premium and AIM companies, although partially overlapping in size, differ in terms of incentives and performance. As expected, smaller and younger companies prefer the AIM due to its lower listing and compliance costs. Roscoe and Willman (2021) study whether the AIM can produce informationally efficient prices despite its imperfections. They argue that the AIM relies on a combination of private governance mechanisms, including reputation, social relationships, and practitioner knowledge.

A second stream of studies investigates performance differences between companies listed on the AIM versus larger and more regulated exchanges. Nielsson (2013) shows that companies listed on the AIM are of the same quality as companies listed on exchanges in the United States and Continental Europe. However, Gerakos et al. (2013) demonstrate that in terms of post-listing returns and survival rates, AIM companies underperform companies listed on larger and more regulated exchanges and are comparable to small companies listed on the American Pink Sheets. Furthermore, AIM companies have comparatively lower financial reporting quality, with higher pre-listing accruals and post-listing reversals. Piotroski (2013) argues that the underperformance of AIM companies is attributable to failures in private sector regulation and incorrect market expectations about AIM investor protections.

A third stream of studies examines IPOs in the AIM, upgrades and downgrades between AIM and Premium segments, and delisting or failure rates among AIM companies. Espenlaub et al. (2012) document that Nomads' reputation has a significant impact on the survival of AIM companies. Also, Stringham and Chen (2012) document similar IPO survival rates for companies listed on the AIM and other regulated stock exchanges, but Vismara et al. (2012) find evidence that IPOs in the AIM and other growth markets underperform IPOs in larger and more regulated markets. Jenkinson and Ramadorai (2013) find that companies switching to the

⁷See <https://www.theguardian.com/business/2020/jul/08/grant-thornton-fined-over-conviviality-audit-failures> and <https://www.theguardian.com/business/2022/jan/19/kpmg-fined-43m-for-serious-failings-in-conviviality-audit>.

⁸See <https://www.theguardian.com/business/2021/sep/27/patisserie-valerie-auditors-fined-frc-grant-thornton>.

⁹Most AIM studies appeared after a period of high growth between the AIM's 1995 inception and the 2008 financial crisis. Although the AIM continues to attract new entrants, in recent years, the number of new listings has decreased (i.e., 32, 87, and 19 new listings in 2020, 2021, and 2022, respectively, as per the most recent LSE report).

AIM from a larger exchange have negative announcement returns of approximately 5%, although this reverses in the long run. Campbell and Tabner (2014) examine upgrades from AIM to Premium and find positive announcement returns attributable to the differences in bonding requirements between these market segments.¹⁰ Still, Gerakos et al. (2013) emphasize that companies are far more likely to move down from the Premium to the AIM segment than the reverse.

Finally, scant research investigates the role of auditors in the AIM. Clatworthy and Peel (2007) and Florou et al. (2020) use data from periods predating expanded reports to examine audit fee determinants and the impact of the FRC's oversight on Premium and AIM companies. As expected, companies in the Premium segment pay higher audit fees, but interestingly, companies listed on the AIM are more sensitive to the FRC's oversight.

2.2 | The expanded report mandate in the United Kingdom

The UK FRC was a pioneer in mandating expanded reports in two waves. The first wave included Premium companies with fiscal years ending on or after September 2013. The expanded reports of these companies followed International Standard on Auditing (ISA) 700 (United Kingdom and Ireland, revised June 2013), "The Independent Auditor's Report on Financial Statements." This standard required a discussion of the risks of material misstatements (RMMs), level of materiality, and scope of the audit (FRC, 2013). In 2015, as part of a concurrent and long regulatory process, the IAASB issued revised and new auditor reporting standards effective for entities with fiscal years ending on or after December 2016 and required auditors of public interest entities to discuss KAMs (IAASB, 2015a, 2015b). In 2016, the FRC revised its auditing standards to converge to IAASB standards (FRC, 2016a, 2016b). Although RMMs in the earlier rules and KAMs in the more recent rules are largely similar, the more recent rules and accompanying regulatory guidance provide an enhanced framework to guide the auditor. Auditors of AIM companies started issuing reports including KAMs for fiscal years ending on or after July 2017 ("commencing on or after 17 June 2016" in ISA 701, para. 6).¹¹

2.3 | Consequences of the expanded report mandate for AIM companies

Our study provides evidence on the usefulness of expanded reports for small and risky companies in the second wave of adopters in the United Kingdom. The FRC is skeptical about the financial reporting quality of these companies, especially compared to Premium firms (FRC, 2015, 2018). Specifically, the FRC has emphasized the need to improve small companies' disclosures about complex accounting estimates (FRC, 2018), which have a significant correspondence with KAMs (Minutti-Meza, 2021). The concerns are consistent with findings in Gerakos et al. (2013) that AIM companies have low financial reporting quality, and with experimental results in Christensen et al. (2014), Elliott et al. (2020), and Moroney et al. (2021), suggesting that the content of expanded reports can influence investor decisions.

Whether the expanded reports of AIM companies provide new or incremental information to investors is an empirical question. The usefulness of these reports depends on at least three underlying assumptions: (1) the auditor provides information beyond other publicly available information; (2) the auditor's disclosures are relevant to investors in making decisions; and (3) investors consider the auditor's disclosures to be an indication of the reliability of financial

¹⁰The sample in Campbell and Tabner (2014) ends in 2010. However, between 2001 and 2010, the study shows that only a small number of companies, typically less than 10 per year, moves from the AIM to the Premium segment.

¹¹See Figure S2 of Appendix S1 for a timeline of key events in the adoption of expanded reports.

reporting. Investors may acknowledge that expanded reports provide more information compared to previous auditor reports but may also deem the disclosed risks to be acceptable or non-value relevant. Hence, we propose our first research question, aligned with the regulatory objective of making audit reports more informative:

Research Question 1 (RQ1). Is the adoption of expanded reports associated with a change in the informativeness of the audit opinion for AIM companies?

The anticipated effect of expanded reports on audit quality for AIM companies is indirect and uncertain. Regulators expect expanded reports to make the audit process more transparent and facilitate scrutiny of management and auditors by external stakeholders. However, in response to increased transparency, auditors may improve the quality of their work. Moreover, expanded reports may help direct auditors to identify and address significant risks, resulting in more effective audits. In contrast, if auditors were already addressing the issues disclosed in expanded reports, there would be no change in audit quality. The adoption of expanded reports by AIM companies provides an opportunity to revisit this issue in the context of small and risky firms that are subject to comparatively lower regulatory requirements and private monitoring. Hence, we propose a second research question:

Research Question 2 (RQ2). Is the adoption of expanded reports associated with a change in the audit quality for AIM companies?

There is scant research on the role of auditors and audit reports in the AIM and other growth markets. The anticipated effect of expanded reports on the cost of audits for AIM companies is also indirect and uncertain. In response to increased transparency, auditors may increase their effort and audit fees, and there could be a differential effect for AIM and Premium segment companies. For example, Florou et al. (2020) find that proactive enforcement by the FRC from 2004 through 2011 led to temporary increases in AIM companies' audit fees (i.e., an 8.3% increase in fees when AIM companies are under FRC review). However, if auditors were already addressing the issues disclosed in expanded reports, there would be no change in the cost of audits. Finally, compliance costs can be a challenge for small companies and management may not be willing to pay for improvements in audit quality. Hence, we propose a third research question:

Research Question 3 (RQ3). Is the adoption of expanded reports associated with a change in audit fees for AIM companies?

The AIM heavily relies on external monitoring or private oversight mechanisms. Therefore, by focusing on the AIM, we are able to examine the incremental effects of governance-related characteristics for the consequences of expanded reports for small and risky companies. It is notably difficult (or impossible) to conduct this type of analysis in other markets. The first mechanism we test is the Nomad's reputation. The AIM is privately overseen by Nomads, which are investment banks and financial service firms that the LSE has formally preapproved to serve as private regulators. Once a company decides to list on the AIM, it establishes a contractual relationship with a Nomad, which guides it through the listing process and determines when the company is ready to go public. After listing, the Nomad continues to oversee compliance with the AIM's rules and regulations. Overall, the companies listed on the AIM face less regulatory oversight than their Premium counterparts. However, both sets of issuers use LSE trading mechanisms.

The next two mechanisms that we examine are auditor size and auditor industry specialization. Unlike other large exchanges, where Big 4 firms have total market dominance, the AIM is

served by a mix of Big 4 and other accounting firms. For instance, a prior FRC analysis (FRC, 2015, p. 19) notes that, of the number of clients in this market, the Big 4 audited 38%, Grant Thornton and BDO audited 27%, and other smaller firms audited 20%.¹² Also, UK regulators see challenger firms (e.g., BDO, Mazars, and Grant Thornton) as a key aspect in overhauling the audit sector and there is variation in auditor industry specialization in the AIM.

The next mechanism we examine is the type of governance code chosen by AIM companies. Although AIM companies are subject to the UK legal system and its shareholder rights protection (Jenkinson & Ramadorai, 2013), they are not mandated to comply with the UK Corporate Governance Code (CGC). Instead, the majority of AIM companies opt for the relatively simpler Quoted Company Alliance's CGC for Small and Mid-Size Quoted Companies (also known as the QCA Code).¹³ For some observers, the "QCA Code is less prescriptive and more principles-based than the FRC Code."¹⁴ We also note that companies following the UK CGC have more extensive audit committee reports in the annual report, including a description of key accounting risks.

Finally, we examine the incremental effect of company size. Although generally smaller, there is great heterogeneity in the sizes of AIM companies. The median AIM company has a market capitalization of £25 million, but more than 30 companies listed on the AIM have a market capitalization above £500 million. Ex ante, it is unclear whether companies' external oversight and visibility are complements or substitutes for expanded reports' disclosures. To address the effect of external monitoring and private oversight through the outlined mechanisms, we propose a fourth research question:

Research Question 4 (RQ4). Is there an incremental effect of (1) Nomad reputation, (2) auditor size, (3) auditor industry specialization, (4) governance code adopted by the company, or (5) company size for the consequences of expanded reports for AIM companies?

3 | RESEARCH DESIGN

3.1 | Changes in investor reaction, audit quality, and fees

To examine the association between the adoption of expanded reports and changes in the informativeness, quality, and cost of audits for AIM companies, we use the following DiD and pre-post models:

$$Outcome = \beta_0 + \beta_1 POST + \beta_2 AIM + \beta_3 POST \times AIM + \sum \beta_i Controls + \varepsilon, \quad (1)$$

$$Outcome = \beta_0 + \beta_1 POST + \sum \beta_i Controls + \varepsilon, \quad (2)$$

¹²The experimental results in Moroney et al. (2021) suggest that KAMs improve the report's perceived value and credibility only when a company engages a non-Big 4 auditor. However, previous studies in the UK setting cannot examine differences between Big 4 and non-Big 4 auditors because the former dominate the Premium segment.

¹³Post-2018, AIM Rule 26 mandates companies to disclose voluntary compliance with recognized CGCs, such as the QCA Code (LSE, 2018). Our manual data collection for AIM companies shows that before 2018, many claimed adherence to the UK CGC based on size and operations. After the 2018 disclosure mandate, AIM firms predominantly shifted to the QCA Code (see Panel C of Table 2). The UK CGC encompasses all QCA Code requirements and adds the following: (1) the presence of an audit committee to guarantee auditor fairness and the financial statements' fairness, balance, and clarity; (2) specific remuneration approach and remuneration-related disclosures; (3) disclosure of long-term risks and opportunities; (4) a formal workforce engagement mechanism; and (5) a formal diversity policy. See the comparison in <https://jp-www.jonesandpalmercoulk.azurewebsites.net/thinking/insights/corporate-governance-code-qca-vs-frc/>.

¹⁴See the comparison in <https://gateyleplc.com/insight/article/revised-qca-corporate-governance-code>.

where *Outcome* is defined alternatively as (1) the absolute value of the cumulative 3-day abnormal returns around the publication of the annual financial statements, calculated based on the LSE value-weighted portfolio (*ABS_ABRET*); (2) abnormal volume calculated, following DeFond et al. (2007), as the natural logarithm of the company's mean event-period volume (trading days [0, +1]) scaled by the company's mean estimation-period volume (trading days [-61, -21]) (*ABVOL*); (3) absolute discretionary accruals, based on the Jones model including *ROA* and scaling all variables by average total assets (*DACCR*); and (4) the natural logarithm of audit fees (*FEES*). *POST* is an indicator variable equal to one for fiscal years ending on or after July 2017, and zero otherwise. *AIM* is an indicator variable equal to one if the company is listed on the AIM, and zero otherwise. The *Controls*, adapted from Gutierrez et al. (2018), depend on the outcome variable. For the first two outcomes related to investor reactions, *Controls* includes *LOGMKT*, *ROA*, *LOSS*, *MTB*, *LEV*, *LAG*, *SALEVOL*, *CHNI*, *BETA*, *ABRET_EAR*, *BIG*, and *INST_OWN*.¹⁵ For the audit quality outcome, *Controls* includes *SIZE*, *ROA*, *LOSS*, *MTB*, *LEV*, *CFO*, *SALEVOL*, *BIG*, *LAGACCR*, and *INST_OWN*. Lastly, for the audit cost outcome, *Controls* includes *SIZE*, *ROA*, *LOSS*, *MTB*, *LEV*, *CFO*, *SALEVOL*, *BIG*, *INV*, *REC*, *FORSALE*, *USLIST*, *BUSY*, *INST_OWN*, and *GCO*. Variables are calculated for company *i* in year *t*, unless noted otherwise. Refer to the [Appendix](#) for their definitions and sources.

We estimate our pre-post models including industry fixed effects. In the DiD models, we include alternatively industry fixed effects or company fixed effects. Including company fixed effects subsumes industry fixed effects and strengthens the DiD specification by mitigating the effect of unobservable (or excluded) time-invariant company characteristics.¹⁶ Finally, we bootstrap the standard errors in the DiD and pre-post models using a bootstrap method with 1,000 replications. We use this method to adjust for the unknown distribution of our estimates and the relatively small number of observations in our sample.

3.2 | Cross-sectional variation in the content of expanded reports

To examine the incremental effect of expanded report content on investor reactions, audit quality, and audit fees for companies listed on the AIM pre-post adoption of the 2017 rules, we estimate the following model:

$$Outcome = \beta_0 + \beta_1 POST + \beta_2 Content + \beta_3 POST \times Content + \sum \beta_i Controls + \varepsilon, \quad (3)$$

where *Outcome* is one of our dependent variables: *ABS_ABRET*, *ABVOL*, *DACCR*, or *FEES*. *POST* is an indicator variable equal to one for fiscal year-ends on or after July 2017, and zero otherwise. *Content* is one of four variables: *LENGTH*, which is an indicator variable equal to one if the number of words in the audit report during at least 1 year after the regulatory change is above the post-period median for all sample firm-years, and zero otherwise; *NKAMS*, which is an indicator variable equal to one if the total number of audit matters included in the expanded report during at least 1 year after the regulatory change is higher than the post-period median for all sample firm-years, and zero otherwise; *NKAMSAUD*, which is an indicator

¹⁵We use a definition of institutional ownership consistent with the definition in Compustat for the US companies in our alternative control sample. We replace missing institutional ownership in the Thomson ONE Ownership database with zero (72/45/73 firm-years for the market reaction, audit quality, and audit cost analyses, respectively). In additional (untabulated) analyses, we use a stricter definition of institutional ownership, excluding the percentage of shares owned by brokerage firms. This stricter definition does not alter the tenor of our findings.

¹⁶As an untabulated robustness test, we estimate our DiD model including audit firm fixed effects (instead of industry or company fixed effects). Our inferences are consistent with those from the main analyses in terms of direction and statistical significance.

variable equal to one if the number of audit matters included in the expanded report that do not overlap with those in the audit committee report (if any) during at least 1 year after the regulatory change is above the post-period median for all sample firm-years, and zero otherwise; and, *MATERIALITY*, which is an indicator variable equal to one if the materiality amount divided by total assets (*MATPERC*) during at least 1 year after the regulatory change is above the post-period median value of *MATPERC* for all sample firm-years, and zero otherwise. *Controls* follow Models (1) and (2) and include industry fixed effects.

3.3 | Cross-sectional variation in the AIM's monitoring mechanisms

To examine the incremental effect of the AIM's private monitoring mechanisms, we estimate the following model:

$$Outcome = \beta_0 + \beta_1 POST + \beta_2 Oversight + \beta_3 POST \times Oversight + \sum \beta_i Controls + \varepsilon, \quad (4)$$

where *Outcome* is one of our dependent variables: *ABS_ABRET*, *ABVOL*, *DACCR*, and *FEES*. *POST* is an indicator variable equal to one for fiscal year-ends on or after July 2017, and zero otherwise. *Oversight* is one of five indicator variables: *NOMAD*, which is an indicator variable equal to one if the market share of an AIM company's Nomad is larger than the median market share for all AIM Nomads, and zero otherwise¹⁷; *BIG4_DUM*, which is an indicator variable equal to one if, in the first year following the regulatory change (year *t*), the company engaged a Big 4 auditor, and zero otherwise; *INDSPEC_DUM*, which is an indicator variable equal to one if, in year *t*, the company's auditor audits more than 30% of the total AIM assets in the company's industry, and zero otherwise; *GOV_DUM*, which is an indicator variable equal to one if, in year *t*, the company states that it "follows" or "follows to an extent" the UK CGC, and zero otherwise; and, *SIZE_DUM*, which is an indicator variable equal to one if company size (*SIZE*) is larger than the median for all AIM firms in year *t*, and zero otherwise. In each model, we include controls that vary based on the dependent variable and industry fixed effects.

3.4 | Sample selection and discussion of control group choices

We summarize our sample selection in Table 1. The initial sample includes 871 UK non-financial companies listed on the LSE (3,140 firm-year observations) with audit data hand-collected from their annual reports (following Gutierrez et al., 2018, p. 1559), and fundamentals and market variables from Worldscope and Datastream, respectively. The AIM sample includes 2 years before and 2 years after the effective date of ISA 701 (United Kingdom) (FRC, 2016b) in July 2017.¹⁸ All control observations in our main analyses are Premium companies that adopted the 2013 standard, as described in Gutierrez et al. (2018), and include

¹⁷Our Nomad variable is time-invariant. We obtain the Nomad market shares from <https://www.londonstockexchange.com/adviser> (accessed July 12, 2022) and use those in our analyses (see Panel D of Table 2). When we lack information on the company's Nomad, we set market share to zero. This leads to replacing the market share with zeroes for 208, 152, and 220 firm-years in the investor reaction, audit quality, and audit cost analyses, respectively. In untabulated analyses, we remove AIM observations with missing Nomad market shares. Our inferences are consistent in sign and statistical significance to the results from the main Nomad analyses, with the exception that *NOMAD* becomes positive and significant at the 0.05 level.

¹⁸The ISA (UK) 701 is effective for fiscal years ending on or after July 2017 (i.e., commencing on or after June 17, 2016). We manually reviewed AIM observations in our sample to confirm expanded reports were issued only post-adoption, and excluded 14 firm-years reporting KAMs and materiality in the pre-adoption period from our analyses. We ensured Premium observations had expanded reports in both pre- and post-adoption periods. Additionally, we verified similar fiscal year-end patterns for AIM and Premium companies.

TABLE 1 Sample description.

	AIM		Premium	
	# Firms	# Firm-years	# Firms	# Firm-years
Listed nonfinancial companies from June 2015 through May 2019	553	1,988	318	1,152
Less:				
Voluntary adopters		(14)		
Fiscal year end changes	(2)	(10)		
Missing expanded report data	(3)	(64)	(8)	(37)
Missing independent variables common to all analyses	(26)	(164)	(2)	(8)
Missing observations for a balanced panel	(195)	(428)	(68)	(147)
	327	1,308	240	960
Nonmissing dependent variables				
Market reaction analysis	314	1,256	236	944
Audit quality analysis	242	968	117	468
Audit fees analysis	327	1,308	240	960

Note: This table includes the sample selection procedure for the AIM and Premium segment subsamples. It shows how we arrive at the number of firms and firm-year observations used in the market reaction, audit quality, and audit fees analyses.

4 years of expanded reports around the July 2017 regulatory cut-off date. After applying all sample requirements, we start our analyses of investor reactions, audit quality, and audit fees with 567 firms (327 and 240 for the AIM and Premium segments, respectively) and 2,268 firm-year observations (1,308 and 960 for the AIM and Premium segments, respectively). Note that the market reaction and audit quality analyses include fewer observations than the audit fees analysis due to missing data.¹⁹

We consider Premium companies a suitable comparison group for AIM companies because (1) Premium and AIM companies share the same economic and legal environment and (2) Premium companies had a “flat” reaction to the expanded audit report (i.e., in observable terms the effect of the new disclosures pre-post 2013 was equivalent to non-treatment).²⁰

Regarding the economic comparability of AIM and Premium companies, in Figure S1A–C of Appendix S1, we plot the long-term buy-and-hold returns of the AIM all-shares and FTSE 350 portfolios for 4- and 8-year periods centered on July 2017. We acknowledge that there are baseline differences between these groups. For instance, the buy-and-hold returns of the AIM all-shares and FTSE 350 portfolios for the 4-year period centered on July 2017 were 20.97% and 7.71%, respectively, consistent with AIM firms having higher risk (see Figure S1A of Appendix S1). However, our DiD analyses only require that these groups have a parallel trend for the outcome variables in the pre-adoption period. Although it is difficult (or impossible) to demonstrate that the parallel-trend assumption holds, Figure S3A–D of Appendix S1 include boxplots of our investor reaction, audit quality, and audit fees variables for AIM and Premium companies for the 4-year period centered around July 2017.²¹ Our visual inspection of the box

¹⁹In Table S1 of Appendix S1, we include the distribution of companies based on their one-digit SIC. Our samples of AIM and Premium companies represent the same industries.

²⁰Moreover, our study provides evidence that expanded reports did not have significant consequences for investors or auditors of Premium companies in the period around the adoption of the 2017 rules.

²¹In the figures, the boxes represent a 25th to 75th percentile range for the values of the respective variables, and the diamond dot is the median. The vertical lines show the distribution of values below the 25th percentile and above the 75th percentile. They are limited at the adjacent values, equal to the 25th and 75th percentile plus/minus 1.5 times the interquartile range.

plots increases our confidence that the parallel-trend assumption is not substantially violated in the pre-adoption period. In our descriptive tests, we also examine the behavior of several control variables and find that they exhibit minimal changes around the adoption of expanded reports by AIM firms. Our analyses triangulate the findings of pre-post and DiD analyses to mitigate concerns that unobservable divergences between groups could be driving our inferences. Finally, the box plots illustrate the range of the basic DiD effects and suggest that the lack of statistical significance is unlikely to be driven by a large standard deviation, and there is not a substantial subgroup that experienced large changes in the outcomes of interest.²²

4 | RESULTS

4.1 | Descriptive evidence on expanded reports of AIM and Premium companies

We present descriptive evidence on the expanded reports for AIM and Premium companies in Table 2. The table includes the comparison for the 2 years pre-adoption and 2 years post-adoption for AIM and Premium companies, together with a difference in means (the last column shows asterisks for differences with p -values lower than 10%). Notably, AIM companies have fewer KAMs (on average we find 2.5 and 3.7 KAMs for AIM and Premium companies, respectively), shorter expanded reports, shorter KAM text, and higher materiality as a percentage of assets. Interestingly, although KAMs capture financial reporting and audit risks, the comparatively smaller and riskier companies listed on the AIM do not report more or longer KAMs than do Premium companies. This finding suggests that the count and length of KAMs are not a straightforward measure of risk from an investor perspective. Another important difference between the two groups is the overlap between auditor and audit committee disclosures. In the post-adoption period, only 17% of KAMs are included in the audit committee reports of AIM companies, compared to 82% for Premium companies. Next, the lag between the earnings announcement and filing of the annual report is smaller for AIM companies. Finally, we observe differences in auditor choice. For instance, only about 37% of the companies listed on the AIM engage a Big 4 auditor, versus approximately 95% for Premium companies.

4.2 | Analysis of investor reactions to the annual report

Table 3, Panel A, shows descriptive statistics for the AIM and the Premium segment subsamples in our main analyses. We present these statistics separately for the pre- and post-adoption period for each of the subsamples. The table shows that neither the average absolute cumulative abnormal returns nor the average abnormal volume changes significantly from the pre-regulatory period to the post-regulatory period for AIM or Premium companies (*ABS_ABRET* and *ABVOL*). Also, most control variables do not change significantly from the pre-adoption period to the post-adoption period. The exceptions are *LOGMKT* and *BETA*, which increased significantly for the AIM segment sample. Also, the market-to-book ratio (*MTB*) decreased for the Premium segment sample.

²²We also utilize a matched sample of US companies as an alternative control group for the AIM firms. These analyses are described in Section 5. However, we caution that the economic conditions and institutional settings of the United States and the United Kingdom are inherently different. In Figures S1B and S1C of Appendix S1, we illustrate the long-term buy-and-hold returns of the AIM all-shares, FTSE 350, US Russell 3000, and US Vanguard Small-Cap Index Fund portfolios for 8 years centered on July 2017. The US stocks have a much higher return in this period. For instance, the buy-and-hold returns of the AIM all-shares and US Russell 3000 portfolios were 72.22% and 160.33%, respectively (see Figure S1B). The buy-and-hold returns of the Vanguard Small-Cap Index Fund over the same period were 136.63% (see Figure S1C).

TABLE 2 Expanded report characteristics.

Panel A: Descriptive statistics for the AIM subsample									
Variable	AIM								Diff.
	POST = 0				POST = 1				
	N	Mean	SD	Median	N	Mean	SD	Median	
LAG	654	21.92	22.72	16.00	652	22.10	21.50	17.50	
NPAGESANN	654	69.20	20.36	66.00	654	79.68	24.29	76.00	***
NPAGESAUD	654	1.52	0.54	2.00	654	4.95	1.48	5.00	***
NWORDSAUD	654	726.96	159.11	681.00	654	2,622.43	660.64	2,542.50	***
BIG	654	0.39	0.49	0.00	654	0.35	0.48	0.00	
GCO	654	0.12	0.32	0.00	654	0.16	0.36	0.00	
FEES (GBP thousands)	654	116.80	284.68	67.00	654	135.91	240.13	79.00	
KAM_NWRDS					654	633.15	393.43	548.00	
PERC_KAM					654	0.23	0.10	0.22	
NKAMS					654	2.46	1.22	2.00	
PERCKAMS_AC					651	0.17	0.35	0.00	
MATPERC					654	0.006	0.076	0.001	
Panel B: Descriptive statistics for the Premium segment subsample									
Variable	Premium								Diff.
	POST = 0				POST = 1				
	N	Mean	SD	Median	N	Mean	SD	Median	
LAG	480	27.64	15.85	27.00	480	27.20	17.12	24.00	
NPAGESANN	480	151.78	60.66	146.00	480	161.94	44.62	160.00	**
NPAGESAUD	480	5.34	1.85	5.00	480	7.35	2.00	7.00	***
NWORDSAUD	480	3,424.36	1,135.15	3,316.00	479	4,754.82	1,166.79	4,586.00	***
BIG	480	0.95	0.21	1.00	480	0.94	0.23	1.00	
GCO	480	0.02	0.14	0.00	480	0.02	0.15	0.00	
FEES (GBP thousands)	480	1,764.61	4,456.32	535.00	480	2,029.39	4,486.17	700.00	
KAM_NWRDS	480	1,196.08	662.24	1,086.50	480	1,327.36	747.25	1,152.50	**
PERC_KAM	480	0.34	0.11	0.34	479	0.27	0.09	0.26	***
NKAMS	480	3.65	1.49	4.00	480	3.69	1.64	3.00	
PERCKAMS_AC	480	0.89	0.21	1.00	480	0.82	0.24	1.00	***
MATPERC	480	0.004	0.0602	0.0005	480	0.003	0.041	0.001	
Panel C: Industry specialist auditors and use of UK CGC by AIM subsample									
Variable	POST = 0				POST = 1				
	N	Mean	SD	Median	N	Mean	SD	Median	
INDSPEC_DUM	654	0.121	0.326	0.000	654	0.127	0.333	0.000	
GOV_DUM	654	0.535	0.499	1.000	654	0.281	0.450	0.000	

TABLE 2 (Continued)

Panel D: Nomads operating in the AIM		
Nomad	Firm-years	% firm-years
finnCap Ltd	136	10.4
Allenby Capital Limited	92	7.03
Cenkos Securities PLC	88	6.73
Singer Capital Markets Advisory LLP	84	6.42
Peel Hunt LLP	64	4.89
Strand Hanson Limited	64	4.89
WH Ireland Limited	64	4.89
Numis Securities Limited	60	4.59
Shore Capital and Corporate Limited	60	4.59
SP Angel Corporate Finance LLP	56	4.28
Canaccord Genuity Limited	52	3.98
Panmure Gordon (UK) Limited	44	3.36
Beaumont Cornish Limited	40	3.06
Investec Bank PLC	40	3.06
Liberum Capital Limited	36	2.75
SPARK Advisory Partners Limited	32	2.45
Cairn Financial Advisers LLP	24	1.83
Stifel Nicolaus Europe Limited	20	1.53
Zeus Capital Limited	16	1.22
Houlihan Lokey UK Limited	8	0.61
Grant Thornton UK LLP	4	0.31
J.P. Morgan Securities PLC	4	0.31
Missing	220	16.82
Total	1,308	100.00

Note: This table includes descriptive statistics for the firms listed on the AIM and Premium segment. Panel A shows mean, median, and standard deviations for various characteristics of the auditor and audit report presented separately for the pre- and post-period in the AIM. Panel B shows the same characteristics for the pre- and post-period in the Premium segment. In both panels, we present audit fees and materiality in thousands of Great British Pounds (GBP). Panel C shows the mean, median, and standard deviation for the pre- and post-period in the AIM segment for the use of industry specialist auditor (*INDSPEC_DUM*) and the UK CGC (*GOV_DUM*). Panel D shows the Nomads for the firm-years in our sample. The definitions of all variables and their sources are included in the Appendix.

*, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

Table 3, Panel B, shows the results from our DiD and pre-post analyses of the association between the adoption of expanded reports and absolute cumulative abnormal returns. The first two columns in the table include findings from the DiD analysis. Both columns include results from analyses with industry fixed effects. Column 2 shows results with bootstrap standard errors. The coefficients on *POST* and *AIM* are not statistically different from zero. Thus, the informativeness of the report does not change from the pre-period to the post-period. Moreover, on average, the annual report, which includes the audit report, does not have different information content for firms listed on the Premium segment versus the AIM segment. The coefficient on *POST* × *AIM* is not significant, which is consistent with Gutierrez et al. (2018). Regarding the controls, the absolute cumulative abnormal returns are negatively and significantly associated with the lag between the earnings announcement and the publication of the annual report (*LAG*) and with the natural logarithm of company market value (*LOGMKT*). They are positively and significantly associated with the absolute abnormal returns around the

TABLE 3 Analysis of market reactions to the annual report.

Panel A: Descriptive statistics														
	AIM = 1						AIM = 0							
	POST = 0			POST = 1			Diff.	POST = 0			POST = 1			
	Mean	SD	Median	Mean	SD	Median		Mean	SD	Median	Mean	SD	Median	Diff
ABS_ABRET	0.050	0.100	0.024	0.050	0.136	0.023		0.022	0.024	0.014	0.024	0.029	0.016	
ABVOL	-0.186	1.506	-0.170	-0.186	1.440	-0.087		0.020	0.869	0.028	-0.035	0.787	0.014	
LOGMKT	17.192	1.519	17.181	17.415	1.605	17.335	*	20.737	1.828	20.759	20.785	1.840	20.812	
ROA	-0.139	0.356	-0.014	-0.147	0.400	-0.013		0.047	0.147	0.052	0.040	0.159	0.049	
LOSS	0.533	0.499	1.000	0.540	0.499	1.000		0.157	0.364	0.000	0.157	0.364	0.000	
MTB	2.568	3.567	1.716	2.508	4.039	1.717		3.569	4.156	2.456	2.872	4.092	2.104	**
LEV	0.080	0.148	0.005	0.089	0.164	0.009		0.185	0.170	0.173	0.184	0.165	0.161	
LAG	21.825	22.065	16.500	22.312	21.363	19.000		27.235	15.169	27.000	27.182	16.953	24.000	
SALEVOL	0.221	0.255	0.139	0.211	0.239	0.134		0.146	0.190	0.098	0.150	0.184	0.102	
CHNI	0.020	0.271	0.007	0.019	0.284	0.006		0.006	0.109	0.006	0.006	0.123	0.004	
BETA	0.206	0.464	0.160	0.323	0.510	0.252	***	0.710	0.482	0.698	0.756	0.488	0.745	
ARET_EAR	0.068	0.074	0.044	0.069	0.077	0.045		0.053	0.053	0.036	0.056	0.053	0.042	
BIG	0.390	0.488	0.000	0.355	0.479	0.000		0.956	0.206	1.000	0.945	0.228	1.000	
INST_OWN	0.153	0.151	0.105	0.145	0.149	0.103		0.312	0.126	0.325	0.319	0.13	0.327	
Obs.	628			628				472			472			
Panel B: Absolute cumulative abnormal returns—DiD and pre-post analyses (dep. var. = ABS_ABRET)														
	(1)		(2)		(3)		(4)		(5)					
POST	0.000		0.000		0.001		0.003		0.003		0.003			
	(0.15)		(0.15)		(0.25)		(0.35)		(0.35)		(0.35)			
AIM	0.005		0.005											
	(0.96)		(0.97)											
POST×AIM	0.001		0.001		0.003									
	(0.16)		(0.16)		(0.37)									

TABLE 3 (Continued)

Panel B: Absolute cumulative abnormal returns—DiD and pre-post analyses (dep. var. = <i>ABS_ABRET</i>)				
	(1)	(2)	(3)	(4)
<i>LOGMKT</i>	-0.003** (-2.45)	-0.003** (-2.56)	-0.018* (-1.67)	-0.005** (-2.13)
<i>ROA</i>	-0.010 (-0.99)	-0.010 (-0.98)	-0.004 (-0.17)	-0.008 (-0.69)
<i>LOSS</i>	0.000 (0.01)	0.000 (0.01)	-0.012 (-1.26)	-0.002 (-0.25)
<i>MTB</i>	-0.000 (-0.91)	-0.000 (-0.92)	-0.001 (-1.38)	-0.001 (-0.97)
<i>LEV</i>	-0.003 (-0.26)	-0.003 (-0.28)	-0.013 (-0.64)	-0.020 (-0.93)
<i>LAG</i>	-0.000*** (-3.85)	-0.000*** (-4.09)	-0.001** (-2.37)	-0.000*** (-2.84)
<i>SALEVOL</i>	0.028 (1.35)	0.028 (1.38)	-0.045 (-0.80)	0.040 (1.54)
<i>CHNI</i>	-0.009 (-1.26)	-0.009 (-1.23)	-0.010 (-0.97)	-0.013 (-1.41)
<i>BETA</i>	-0.005 (-0.89)	-0.005 (-0.86)	-0.005 (-0.90)	-0.007 (-0.77)
<i>ABRET_EAR</i>	0.329*** (4.40)	0.329*** (4.89)	0.315*** (4.28)	0.418*** (4.92)
<i>BIG</i>	-0.004 (-0.78)	-0.004 (-0.83)	-0.045 (-1.09)	-0.002 (-0.45)
<i>INST_OWNER</i>	0.030 (0.99)	0.030 (0.98)	0.047 (1.05)	0.048 (1.06)
Industry FE	Included	Included	Included	Included
				(Continues)

TABLE 3 (Continued)

Panel B: Absolute cumulative abnormal returns—DiD and pre-post analyses (dep. var. = <i>ABS_ABRET</i>)				
	(1)	(2)	(3)	(5)
Firm FE			Included	Yes
Bootstrap SE		Yes		0.113*** (2.65)
Intercept	0.065*** (3.19)	0.065*** (3.33)	0.404* (1.75)	0.113*** (2.65)
Obs.	2,200	2,200	2,200	1,256
Adj. R ²	0.0983	0.0983	0.0763	0.0978

Panel C: Abnormal volume—DiD and pre-post analyses (dep. var. = <i>ABVOL</i>)				
	(1)	(2)	(3)	(5)
<i>POST</i>	-0.067 (-1.40)	-0.067 (-1.23)	-0.067 (-1.35)	-0.024 (-0.30)
<i>AIM</i>	0.039 (0.39)	0.039 (0.39)		
<i>POST</i> × <i>AIM</i>	0.053 (0.59)	0.053 (0.51)	0.028 (0.30)	
<i>LOGMKT</i>	0.084*** (4.10)	0.084*** (4.09)	0.157*** (2.15)	0.127*** (3.28)
<i>ROA</i>	0.137 (1.16)	0.137 (1.11)	0.023 (0.13)	-0.003 (-0.02)
<i>LOSS</i>	-0.135* (-1.75)	-0.135* (-1.70)	-0.042 (-0.41)	-0.197* (-1.81)
<i>MTB</i>	-0.002 (-0.24)	-0.002 (-0.25)	-0.009 (-0.77)	-0.012 (-0.80)
<i>LEV</i>	-0.233 (-1.12)	-0.233 (-1.23)	0.158 (0.37)	-0.510 (-1.62)

TABLE 3 (Continued)

Panel C: Abnormal volume—DiD and pre-post analyses (dep. var. = <i>ABVOL</i>)					
	(1)	(2)	(3)	(4)	(5)
<i>LAG</i>	−0.008*** (−5.51)	−0.008*** (−5.58)	−0.006*** (−2.62)	−0.008*** (−4.06)	−0.008*** (−4.23)
<i>SALEVOL</i>	−0.339** (−2.12)	−0.339** (−2.27)	−0.826 (−1.25)	−0.256 (−1.19)	−0.256 (−1.24)
<i>CHNI</i>	−0.243* (−1.69)	−0.243 (−1.54)	−0.214 (−1.38)	−0.183 (−1.16)	−0.183 (−1.04)
<i>BETA</i>	−0.026 (−0.45)	−0.026 (−0.47)	−0.204** (−2.51)	−0.044 (−0.55)	−0.044 (−0.53)
<i>ARET_EAR</i>	2.742*** (6.05)	2.742*** (5.83)	2.484*** (5.13)	3.226*** (5.73)	3.226*** (5.30)
<i>BIG</i>	−0.035 (−0.38)	−0.035 (−0.44)	−0.499* (−1.87)	−0.089 (−0.83)	−0.089 (−1.01)
<i>INST_OWN</i>	0.188 (0.80)	0.188 (0.84)	−0.170 (−0.44)	0.040 (0.12)	0.040 (0.12)
Industry FE	Included	Included	Included	Included	Included
Firm FE					
Bootstrap SE		Yes			Yes
Intercept	−1.682*** (−3.84)	−1.682*** (−3.61)	−2.413* (−1.73)	−2.249*** (−2.97)	−2.249*** (−2.92)
Obs.	2,200	2,200	2,200	1,256	1,256
Adj. <i>R</i> ²	0.0525	0.0525	0.0332	0.0531	0.0531

Note: This table includes results from the analyses of the association between the expanded report adoption, absolute cumulative abnormal returns, and abnormal volume. Panel A shows descriptive statistics and differences in means for our dependent and independent variables in the market analyses for the AIM/Premium subsamples in the pre/post period. Panels B and C show the results from pre/post and difference-in-difference (DID) analyses for absolute cumulative abnormal returns and abnormal volume, respectively. The two panels include the coefficients and *t*-statistics (in brackets). The definitions of all variables and their sources are included in the [Appendix](#).

*, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

earnings announcement (*ABRET_EAR*). Finally, Column 3 includes results from a DiD analysis that replaces industry with company fixed effects. The coefficient on $POST \times AIM$ is not significantly different from zero, indicating no marginal change in informativeness after the new regulation's adoption. Columns 4 and 5 present results from a pre/post analysis based on Model (2), including industry fixed effects. Column 5 presents findings based on bootstrap standard errors. In both columns, the coefficient on *POST* is not statistically significant, suggesting no change in absolute cumulative abnormal returns after the introduction of the expanded reports.

Table 3, Panel C, shows the results using abnormal volume. The coefficients on the *POST* and *AIM* variables are not significant, indicating that the informativeness of the report does not change from pre-adoption period to the post-adoption period. Also, the coefficients on $POST \times AIM$ are statistically insignificant, indicating no change in investor reaction to the AIM reports in the post-adoption period. The coefficient remains insignificant in Column 3 after replacing industry with firm fixed effects. The pre-post analyses in Columns 4 and 5 show no significant association between abnormal volume and the introduction of expanded reports. Overall, we interpret our market reaction results as consistent with earlier studies that conclude that expanded reports provide negligible incremental information to investors (Gutierrez et al., 2018; Lennox et al., 2023).

4.3 | Analysis of audit quality

Table 4, Panel A, presents descriptive statistics for the absolute discretionary accruals (*DACCR*), which proxy for audit quality.²³ The lack of significance in the difference in means suggests no changes in audit quality around the introduction of the new audit report format for either subsample. Next, Panel B tests for an association between discretionary accruals and the introduction of expanded reports. The coefficients on *POST* in Columns 1–3 are negative and marginally significant in the DiD analyses, indicating a slight increase in audit quality in the post-regulatory period for both AIM and Premium segment firms. The coefficients on *AIM* and the interaction $POST \times AIM$ lack statistical significance. Thus, there is no evidence of a significant difference in audit quality between our test and control subsamples. Audit quality also does not change around the introduction of the regulation for the AIM firms because the coefficients on *POST* in the pre-post analyses (Columns 4 and 5) are insignificant. Regarding the controls, audit quality is positively associated with size (*SIZE*) and profitability (*ROA*). Overall, our audit quality results align with the findings in Gutierrez et al. (2018).

4.4 | Analysis of audit fees

Table 5, Panel A, includes descriptive statistics for the natural logarithm of audit fees paid by AIM and Premium firms. Audit fees increased significantly from the pre-regulatory period to the post-regulatory period for firms listed on both segments. Panel B shows the association between audit fees and the introduction of expanded reports. In Columns 1 and 2, the coefficients on *AIM* are negative and significant (coefficient = -0.333 , $p < 0.01$). Thus, audit fees are significantly lower for the AIM sample over the entire sample period. However, there is an overall increase in audit fees in the post-regulatory period for both segments. The coefficient on *POST* is positive and significant (coefficient = 0.101 , $p < 0.01$). The coefficient on $POST \times AIM$ is insignificant, suggesting no incremental change in audit fees associated with the introduction

²³Tables S2 and S3 of Appendix S1 present descriptive statistics for all other variables in the audit quality and audit fees analyses, respectively.

TABLE 4 Analysis of audit quality.

Panel A: Descriptive statistics												
	AIM = 1					AIM = 0						
	POST = 0			POST = 1		POST = 0			POST = 1			
	Mean	SD	Median	Mean	SD	Median	Mean	SD	Median	Mean	SD	Median
DACCR	0.086 ^a	0.089	0.057	0.078 ^a	0.077	0.053	0.054 ^b	0.053	0.037	0.045 ^b	0.048	0.032
Obs.		484			484			234			234	
Panel B: DiD and pre-post analyses (dep. var. = DACCR)												
	(1)	(2)	(3)	(4)	(5)							
POST	-0.007* (-1.89)	-0.007* (-1.77)	-0.008* (-1.85)	-0.006 (-1.31)	-0.006 (-1.31)							
AIM	-0.004 (-0.59)	-0.004 (-0.64)										
POST×AIM	0.001 (0.14)	0.001 (0.14)	0.000 (0.02)									
SIZE	-0.005*** (-2.85)	-0.005*** (-3.01)	-0.004 (-0.60)	-0.007*** (-2.63)	-0.007*** (-2.93)							
ROA	-0.083*** (-4.06)	-0.083*** (-4.59)	-0.088*** (-4.23)	-0.081*** (-3.77)	-0.081*** (-4.21)							
LOSS	-0.004 (-0.82)	-0.004 (-0.90)	-0.007 (-1.09)	-0.010 (-1.47)	-0.010* (-1.65)							
MTB	0.001** (2.42)	0.001** (2.26)	0.001 (0.89)	0.001 (0.98)	0.001 (0.91)							
LEV	0.007 (0.48)	0.007 (0.47)	0.034 (1.34)	-0.001 (-0.04)	-0.001 (-0.04)							
CFO	-0.023 (-0.77)	-0.023 (-0.90)	0.008 (0.20)	-0.033 (-1.06)	-0.033 (-1.20)							
(Continues)												

(Continues)

TABLE 4 (Continued)

Panel B: DiD and pre-post analyses (dep. var. = *DACCR*)

	(1)	(2)	(3)	(4)	(5)
<i>SALEVOL</i>	0.009 (0.91)	0.009 (1.01)	-0.001 (-0.04)	0.007 (0.50)	0.007 (0.57)
<i>BIG</i>	0.001 (0.13)	0.001 (0.16)	-0.005 (-0.42)	0.001 (0.21)	0.001 (0.26)
<i>LAGACCR</i>	-0.012 (-0.78)	-0.012 (-0.86)	-0.019 (-1.16)	0.001 (0.07)	0.001 (0.08)
<i>INST_OWN</i>	-0.006 (-0.45)	-0.006 (-0.49)	-0.016 (-0.71)	-0.002 (-0.13)	-0.002 (-0.13)
Industry FE	Included	Included	Included	Included	Included
Firm FE					
Bootstrap SE		Yes			Yes
Intercept	0.153*** (4.57)	0.153*** (4.87)	0.142 (1.19)	0.191*** (4.09)	0.191*** (4.70)
Obs.	1,436	1,436	1,436	968	968
Adj. <i>R</i> ²	0.2960	0.2960	0.0626	0.2740	0.2740

Note: This table includes results from the analyses of the association between the adoption of the expanded audit report and audit quality. Panel A shows descriptive statistics and differences in means for our dependent variable for the AIM/Premium subsamples in the pre/post period. Panel B shows the results from the pre/post and difference-in-difference (DiD) analyses on the association between audit quality and the adoption of the expanded audit report format. It includes the coefficients and *t*-statistics (in brackets). The definitions of all variables in the table and their sources are included in the Appendix.^{a, b} Means are not significantly different.

*, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

TABLE 5 Analysis of audit fees.

Panel A: Descriptive statistics														
	AIM = 1						Diff.	AIM = 0						
	POST = 0			POST = 1				POST = 0			POST = 1			
	Mean	SD	Median	Mean	SD	Median		Mean	SD	Median	Mean	SD	Median	Diff
FEEES	11.174	0.882	11.112	11.349	0.906	11.277	***	13.373	1.278	13.190	13.552	1.275	13.459	*
Obs.	654			654				480			480			
Panel B: DiD and pre-post analyses (dep. var. = FEEES)														
	(1)			(2)				(3)			(4)			(5)
POST	0.101*** (7.20)			0.101*** (2.58)				0.137*** (9.34)			0.107*** (5.61)			0.107*** (3.36)
AIM	-0.333*** (-4.22)			-0.333*** (-6.66)										
POST×AIM	-0.018 (-0.77)			-0.018 (-0.36)				-0.010 (-0.50)						
SIZE	0.466*** (17.53)			0.466*** (28.65)				0.246*** (4.04)			0.409*** (13.68)			0.409*** (18.29)
ROA	-0.399*** (-4.30)			-0.399*** (-4.36)				-0.158*** (-2.93)			-0.379*** (-4.30)			-0.379*** (-4.24)
LOSS	0.031 (0.62)			0.031 (0.86)				0.049** (2.49)			-0.072 (-1.21)			-0.072* (-1.75)
MTB	0.002 (0.33)			0.002 (0.48)				-0.005*** (-2.66)			-0.001 (-0.18)			-0.001 (-0.22)
LEV	0.215 (1.37)			0.215** (2.37)				0.160* (1.76)			-0.043 (-0.21)			-0.043 (-0.34)
CFO	0.336*** (2.30)			0.336*** (2.84)				-0.004 (-0.05)			0.335*** (2.37)			0.335*** (2.69)
SALEVOL	0.628*** (2.83)			0.628*** (5.12)				0.051 (0.52)			0.665*** (2.62)			0.665*** (5.11)
(Continues)														

TABLE 5 (Continued)

Panel B: DiD and pre-post analyses (dep. var. = <i>FEE5</i>)				
	(1)	(2)	(3)	(4)
<i>BIG</i>	0.167*** (2.74)	0.167*** (4.45)	0.130** (2.11)	0.236*** (3.91)
<i>INV</i>	-0.628*** (-2.83)	-0.628*** (-5.37)	0.656** (2.19)	0.139 (0.59)
<i>REC</i>	0.767*** (3.87)	0.767*** (6.67)	0.480*** (2.29)	0.908*** (6.29)
<i>FORSALE</i>	0.603*** (8.01)	0.603*** (14.01)	0.110*** (3.02)	0.189*** (3.74)
<i>BUSY</i>	0.173*** (3.35)	0.173*** (6.20)	0.433*** (3.86)	0.164*** (5.43)
<i>GCO</i>	0.104 (1.61)	0.104** (2.01)	0.020 (0.75)	0.055 (1.07)
<i>USLIST</i>	1.273*** (4.25)	1.273*** (8.28)		0.309*** (2.10)
<i>INST_OWN</i>	0.226 (1.58)	0.226** (2.40)	0.180*** (2.79)	0.099 (0.90)
Industry FE	Included	Included	Included	Included
Firm FE				
Bootstrap SE		Yes		Yes
Intercept	3.000*** (5.24)	3.000*** (8.86)	6.875*** (6.07)	4.179*** (9.68)
Obs.	2,268	2,268	2,268	1,308
Adj. <i>R</i> ²	0.8510	0.8510	0.3470	0.6240

Note: This table shows results from analyses of the association between the adoption of the expanded audit report and audit fees. Panel A shows descriptive statistics and differences in means for our dependent variable for the AIM/Premium subsamples in the pre-period/post-period. Panels B shows results from pre/post and difference-in-difference (DiD) analyses. It includes the coefficients and *t*-statistics (in brackets). The definitions of all variables and their sources are included in the [Appendix](#). *, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

of the new audit regulation.²⁴ The results in Column 3 show a positive and significant coefficient on *POST* (coefficient = 0.137, $p < 0.01$). At the same time, the coefficient on the interaction *POST*×*AIM* remains insignificant.²⁵ Turning to our pre-post analysis, Columns 4 and 5 show positive and significant coefficients on *POST* (coefficient = 0.107, $p < 0.01$). In all models, the amount of audit fees is positively associated with *SIZE*, *BIG*, *BUSY*, and *FORSALE*, and negatively associated with *ROA*. Overall, we do not find robust evidence that audit fees increased as a result of the expanded reports. These inferences align with those in Gutierrez et al. (2018), Reid et al. (2019), and Lennox et al. (2023).

4.5 | Analysis of cross-sectional variation in the content of expanded reports

We next investigate the incremental effect of the content of the expanded reports. Table 6, Panel A, shows the association between expanded report content (i.e., length, number of KAMs, number of KAMs not overlapping with those in the audit committee report, and materiality percentage) and absolute cumulative abnormal returns and abnormal volume. We find that during the post-regulatory period, the absolute cumulative abnormal returns are positively and significantly associated with the number of KAMs (coefficient = 0.023, $p < 0.10$) and negatively and significantly associated with materiality (coefficient = -0.032, $p < 0.05$). Thus, AIM companies with more KAMs and lower materiality experience greater investor reactions in the post-regulatory period. Regarding absolute abnormal volume, all interaction coefficients are not significant, indicating no incremental association between expanded report content and investor reaction.

Table 6, Panel B, shows no significant association between absolute discretionary accruals, the length of the audit report, the KAMs included in this report, or materiality after the introduction of expanded reports. However, the length of the report is positively and significantly associated with audit fees in the post period (coefficient = 0.124, $p < 0.01$). Post-regulation, the number of KAMs is also positively and significantly associated with audit fees (coefficient = 0.067, $p < 0.05$). Thus, AIM companies with shorter reports or fewer KAMs pay lower audit fees.

In sum, we document a positive association between pre-post changes in abnormal returns and the number of KAMs, and a negative association between pre-post changes in abnormal returns and the level of materiality. However, we do not find any association with abnormal volume. Next, we document a positive association between pre-post changes in audit fees and total report length and the number of disclosed KAMs. Overall, although these tests do not produce a conclusive pattern, we find some evidence that variation in expanded report content (i.e., report length, number of KAMs, and materiality) is relevant for investors and auditors in the AIM.

4.6 | Analysis of cross-sectional variation in the AIM's private monitoring mechanisms

We next investigate whether there is an incremental effect of the AIM's private monitoring mechanisms. Table 7, Panels A–E, includes the pre/post cross-sectional analyses by type of

²⁴Following Cunningham et al. (2019), we scrutinize the confidence intervals of our variables of interest to explore further our inability to find an association between adopting the expanded audit report and investor reaction, audit quality, and audit cost. The upper and lower bounds of our confidence intervals show that the potential effect size does not exceed a fifth of the standard deviation of absolute cumulative abnormal returns and abnormal volume (for *POST*, *AIM*, and *POST*×*AIM*), a fifth of the standard deviation of absolute discretionary accruals (for *AIM* and *POST*×*AIM*), and a tenth of the standard deviation of the logarithm of audit fees (for *POST*×*AIM*).

²⁵In addition to estimating the DiD models for investor reaction, audit quality, and audit fees for all firm-years with available data in the AIM and Premium segments, we also conduct alternative DiD analyses that include only AIM firm-years without audit committee reports. These analyses allow us to avoid any confounding effect of changes in audit committee disclosures. The results are comparable to those in our main analyses (see Table S4 of Appendix S1).

TABLE 6 Cross-sectional pre-post analyses based on the content of the expanded report.

Panel A: Market reaction to the annual report							
	Dep. var. = <i>ABS_ABRET</i>			Dep. var. = <i>ABVOL</i>			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>POST</i>	-0.002 (-0.20)	-0.010 (-1.23)	-0.007 (-1.07)	0.020 (1.47)	-0.061 (-0.52)	0.077 (0.65)	0.067 (0.63)
<i>LENGTH</i>	-0.001 (-0.08)				-0.093 (-0.70)		
<i>POST</i> × <i>LENGTH</i>	0.007 (0.51)				0.059 (0.38)		
<i>NKAMS</i>		-0.016* (-1.75)				0.208 (1.63)	
<i>POST</i> × <i>NKAMS</i>		0.023* (1.68)				-0.179 (-1.20)	
<i>NKAMSAUD</i>			-0.015* (-1.91)				0.267** (2.16)
<i>POST</i> × <i>NKAMSAUD</i>			0.021 (1.55)				-0.197 (-1.35)
<i>MATERIALITY</i>				0.007 (0.90)			-0.142 (-1.07)
<i>POST</i> × <i>MATERIALITY</i>				-0.032** (-2.12)			-0.084 (-0.57)
Controls	Included	Included	Included	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included	Included	Included	Included
Intercept	0.119** (2.45)	0.122** (2.65)	0.122** (2.65)	0.119** (2.43)	-2.277*** (-2.94)	-2.348*** (-3.10)	-2.383*** (-3.19)
Obs.	1,256	1,256	1,256	1,256	1,256	1,256	1,256
Adj. <i>R</i> ²	0.0967	0.0989	0.0988	0.1020	0.0521	0.0540	0.0559
							0.0545

TABLE 6 (Continued)

Panel B: Audit quality and audit fees								
	Dep. var. = <i>DACCR</i>			Dep. var. = <i>FEES</i>				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
<i>POST</i>	−0.006 (−0.86)	−0.001 (−0.12)	−0.002 (−0.37)	−0.002 (−0.49)	0.035 (1.41)	0.071*** (2.74)	0.088*** (3.81)	0.138*** (5.20)
<i>LENGTH</i>	0.001 (0.17)				0.201** (2.46)			
<i>POST</i> × <i>LENGTH</i>	0.001 (0.07)				0.124*** (3.79)			
<i>NKAMS</i>		0.004 (0.63)				0.044 (0.75)		
<i>POST</i> × <i>NKAMS</i>		−0.009 (−1.03)				0.067** (1.98)		
<i>NKAMSAUD</i>			0.004 (0.51)				0.04 (0.69)	
<i>POST</i> × <i>NKAMSAUD</i>			−0.008 (−0.91)				0.042 (1.22)	
<i>MATERIALITY</i>				0.007 (0.88)				0.161** (2.22)
<i>POST</i> × <i>MATERIALITY</i>				−0.007 (−0.79)				−0.056 (−1.57)
Controls	Included	Included	Included	Included	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included	Included	Included	Included	Included
Intercept	0.194*** (4.20)	0.188*** (4.06)	0.189*** (4.09)	0.183*** (3.62)	4.544*** (7.62)	4.222*** (7.05)	4.192*** (6.98)	3.951*** (6.37)

TABLE 6 (Continued)

Panel B: Audit quality and audit fees							
Dep. var. = <i>DACCR</i>				Dep. var. = <i>FEEs</i>			
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Obs.	968	968	968	1,308	1,308	1,308	1,308
Adj. <i>R</i> ²	0.2730	0.2740	0.2730	0.6400	0.6260	0.6250	0.6280

Note: This table shows results from cross-sectional pre-post analyses of the association between market reaction (Panel A), audit quality and audit fees (Panel B) and the contents of the expanded audit report. Both panels include coefficients and *t*-statistics (in brackets). Definitions of all variables and their sources are included in the [Appendix](#).

*, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

TABLE 7 Cross-sectional pre-post analyses based on Nomad, Big 4 auditor, industry specialist auditor, CGC, and firm size.

Panel A: Cross-sectional pre-post analyses based on Nomad				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
<i>POST</i>	−0.003 (−0.37)	0.132 (1.05)	−0.014* (−1.73)	0.095*** (3.23)
<i>NOMAD</i>	−0.005 (−0.57)	0.198 (1.57)	−0.002 (−0.26)	−0.124* (−1.92)
<i>POST</i> × <i>NOMAD</i>	0.011 (0.80)	−0.268* (−1.76)	0.014 (1.45)	0.018 (0.51)
Controls	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included
Intercept	0.116** (2.44)	−2.273*** (−2.97)	0.205*** (4.23)	4.076*** (6.65)
Obs.	1,256	1,256	968	1,308
Adj. <i>R</i> ²	0.0969	0.0541	0.2750	0.6270
Panel B: Cross-sectional pre-post analyses based on Big 4 versus non-Big 4 auditor				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
<i>POST</i>	0.007 (0.63)	0.001 (0.01)	−0.008 (−1.32)	0.071*** (3.09)
<i>BIG4_DUM</i>	−0.004 (−0.52)	0.181 (0.72)	0.005 (0.36)	0.034 (0.33)
<i>POST</i> × <i>BIG4_DUM</i>	−0.010 (−1.03)	−0.077 (−0.50)	0.005 (0.60)	0.092*** (2.68)
Controls	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included
Intercept	0.110** (2.56)	−2.265*** (−2.99)	0.194*** (4.12)	4.209*** (6.96)
Obs.	1,256	1,256	968	1,308
Adj. <i>R</i> ²	0.0969	0.0521	0.2730	0.6240
Panel C: Cross-sectional pre-post analyses based on industry specialist auditor				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
<i>POST</i>	0.004 (0.53)	−0.007 (−0.08)	−0.007 (−1.36)	0.102*** (4.96)
<i>INDSPEC_DUM</i>	−0.013 (−0.94)	0.271 (1.11)	−0.024** (−2.12)	−0.208* (−1.78)
<i>POST</i> × <i>INDSPEC_DUM</i>	−0.018 (−1.63)	−0.203 (−0.85)	0.011 (1.40)	0.069 (1.56)
(Continues)				

TABLE 7 (Continued)

Panel C: Cross-sectional pre-post analyses based on industry specialist auditor				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
Controls	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included
Intercept	0.113*** (2.59)	−2.256*** (−3.02)	0.186*** (3.91)	4.153*** (6.94)
Obs.	1,256	1,256	968	1,308
Adj. <i>R</i> ²	0.0986	0.0527	0.2760	0.6260
Panel D: Cross-sectional pre-post analyses based on CGC				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
<i>POST</i>	0.006 (0.48)	−0.108 (−1.00)	−0.005 (−0.76)	0.080*** (3.23)
<i>GOV_DUM</i>	−0.003 (−0.41)	−0.066 (−0.54)	−0.003 (−0.40)	0.030 (0.48)
<i>POST</i> × <i>GOV_DUM</i>	−0.007 (−0.56)	0.174 (1.17)	−0.003 (−0.34)	0.056* (1.71)
Controls	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included
Intercept	0.108** (2.51)	−2.168*** (−2.82)	0.191*** (4.06)	4.190*** (6.94)
Obs.	1,256	1,256	968	1,308
Adj. <i>R</i> ²	0.0973	0.0525	0.2730	0.6250
Panel E: Cross-sectional pre-post analyses based on company size				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
<i>POST</i>	−0.005 (−0.69)	−0.104 (−0.99)	−0.013* (−1.70)	0.076*** (2.88)
<i>SIZE_DUM</i>	0.006 (0.36)	−0.141 (−0.93)	−0.004 (−0.41)	0.050 (0.52)
<i>POST</i> × <i>SIZE_DUM</i>	0.016 (1.19)	0.159 (1.06)	0.014 (1.60)	0.070** (2.18)
Controls	Included	Included	Included	Included
Industry FE	Included	Included	Included	Included
Intercept	0.157* (1.88)	−2.338*** (−2.73)	0.212*** (3.42)	4.555*** (6.04)

TABLE 7 (Continued)

Panel E: Cross-sectional pre-post analyses based on company size				
	Dep. var.			
	(1) <i>ABS_ABRET</i>	(2) <i>ABVOL</i>	(3) <i>DACCR</i>	(4) <i>FEES</i>
Obs.	1,256	1,256	968	1,308
Adj. R^2	0.0991	0.0526	0.2750	0.6250

Note: This table shows results from cross-sectional pre-post analyses of the association between the market reaction (Columns 1 and 2), audit quality (Column 3), and audit fees (Column 4) and governance mechanisms present in AIM firm-year observations during the first year after the change in the format of the audit report (Nomad [Panel A], Big 4 auditor [Panel B], industry specialist auditor [Panel C], CGC [Panel D], and firm size [Panel E]). All five panels include coefficients and t -statistics (in brackets). The definitions of all variables and their sources are included in the [Appendix](#).

*, **, and *** indicate statistical significance at the 0.10, 0.05, and 0.01 levels, respectively.

mechanism (i.e., Nomad, Big 4 auditor, industry specialist, CGC, and size, respectively). Columns 1 and 2 present the results for absolute cumulative abnormal returns and abnormal volume, respectively. The only interaction with *POST* that has a significant coefficient is *POST*×*NOMAD* (coefficient = -0.268 , $p < 0.10$) for abnormal volume (Panel A). Thus, for the AIM companies, we find no significant investor reaction around the regulatory changes regardless of the presence of private oversight or its source. Column 3 examines audit quality. The interactions between all oversight mechanisms and *POST* are not statistically significant indicating no incremental increase in audit quality following the introduction of the expanded audit report despite the presence of these mechanisms. Column 4 in each panel examines audit fees. The results indicate that engaging a Big 4 auditor is related to higher audit fees in the post-regulatory period (coefficient = 0.092 , $p < 0.01$) (Panel B), and there is an incremental increase in audit fees around the regulatory changes for companies following the UK CGC (coefficient = 0.056 , $p < 0.10$) (Panel D). Finally, the coefficient on *POST*×*SIZE_DUM* is positive and significant (coefficient = 0.070 , $p < 0.05$) (Panel E), indicating that larger firms pay more for audit services in the post-regulatory period.

In sum, we observe weaker investor reactions to extended disclosures when companies have a reputable Nomad, suggesting better supervision even before the regulatory changes. Companies with Big 4 auditors, larger size, and adhering to the UK CGC experience fee increases after the introduction of the expanded report, indicating a link between auditor risk/effort and these three governance mechanisms. However, collectively, our results indicate that AIM's monitoring mechanisms do not systematically alter the consequences of expanded reports.

5 | ADDITIONAL ANALYSES AND ROBUSTNESS CHECKS

5.1 | Financial reporting information available to investors in the AIM

To provide some descriptive evidence about what financial reporting information is typically available to investors in the AIM, we first examine the content of AIM companies' annual reports. Table S5 in Appendix S1 shows the frequency of the sections included in the annual reports of 60 randomly chosen AIM companies in years $t - 2$

through $t + 1$.²⁶ Our findings indicate that AIM companies' annual reports contain similar sections to those of Premium companies (e.g., generally similar Management Discussion and Analysis items and financial statements). Consistent with our earlier observations, AIM companies often do not include audit committee reports. However, we observe a small increase in the number of companies including these reports over our sample period. We also observe an increase in Corporate Social Responsibility reporting during this period, but these disclosures are not related to the expanded reports' content. Overall, we do not observe a clear trend in changes in financial reporting following the regulatory changes.

Next, based on our market reaction sample (of 314 unique companies), we randomly selected 64 unique companies (20% of the observations). For those companies, we manually searched the financial statements in year $t - 1$ relative to the regulatory change to determine whether the KAMs disclosed in the first expanded report were previously disclosed to investors. We find that 65% of these KAMs were discussed in the prior year's financial statements. Most of these were included in the notes to the financial statements or in the "strategic report" section.²⁷ These findings correspond closely to the descriptive evidence in Lennox et al. (2023, p. 500) on Premium companies' overlap between KAMs and existing information.

The evidence provided by these analyses strengthens our belief that the lack of incremental value of the expanded audit reports for companies listed on the AIM is not directly attributable to differences in financial reporting between AIM and Premium segment companies. In addition, these findings provide new insights on small companies' KAMs and shed light on variations in the adoption of CGCs and financial reporting practices among AIM companies.²⁸

5.2 | Shift in the pattern of company exits from the AIM

In exploratory analyses, we examine the association between the adoption of expanded reports and shifts in the pattern of company exits from the AIM. We conduct a pre-post analysis and a pre-post and cross-sectional analysis. In Table S6 of Appendix S1, we include our sample selection procedure (Panel A), descriptive statistics (Panel B), and results from these analyses (Panel C).²⁹ Our dependent variable for these analyses is *EXIT*, which is the probability of delisting in period $(t + 1)$. Panel B shows that the number of delisting events is higher in the post-adoption period (41 events) than in the pre-adoption (25 events). Panel C indicates a significant increase in the probability of exiting the AIM around the regulatory changes.³⁰ The likelihood of exiting the AIM is significantly higher in the post-period for companies that have longer expanded reports, more KAMs, more KAMs not mentioned in the audit committee report, and higher materiality.

Based on an expanded sample of AIM companies without an audit report or firm characteristics data, in Panel D of Table S6, we conduct univariate analyses, including entries, exits, and moves from the AIM to the Main Market.³¹ Comparing activity pre-post adoption of expanded reports, we find 7.3% (11.8%) and 8.4% (13.3%) new entries (exits), respectively. However, a

²⁶To select this sample, we split AIM companies in the market reaction sample into size-based terciles using average total assets, calculated over the 4-year sample period. Next, we randomly choose 20 firms from each size-based tercile. Our stratified sample covers approximately 20% of the companies in our main analyses.

²⁷Strategic reports are prepared by British firms in accordance with the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013. They are meant to inform shareholders about the board of directors' view of the company and to provide context for the financial statements (FRC, 2022).

²⁸A limitation of these analyses is that, despite our best efforts, it remains uncertain whether investors could infer KAMs from other sources beyond the annual report (e.g., other disclosures, peer companies).

²⁹The analyses only consider equity issuers with incorporation in the United Kingdom.

³⁰We estimate the marginal effects holding the control variables at their means. Based on adjusted margins, the delisting probability for AIM companies prior to the regulatory change is 2.6% and it increases to 5.5% after the adoption of expanded reports.

³¹We use the Issuer list archive file from <https://www.londonstockexchange.com/reports?tab=issuers>. The file format changed in November 2016 such that we could not identify the FCA Listing Category (i.e., Premium or Standard in the Main Market). Thus, we cannot identify whether an AIM company upgraded to Premium or Standard in the Main Market.

univariate test indicates that the differences between these percentages are not statistically significant. Upgrades to the Main Market are very rare (we find only seven during our sample period), and we do not have access to detailed pre-IPO information for new entries to the AIM. If we take market exits as an indirect indicator of business failure, the content of expanded reports may be useful for predicting the probability of failure of small, riskier companies listed on the AIM. However, the results from these analyses should be interpreted with caution given the limited number of company exits in the AIM before and after the regulatory changes.

5.3 | Alternative main and control samples

In untabulated analyses, we eliminate the largest AIM companies to ensure that we are focusing on those that are sufficiently different from their Premium counterparts. Alternatively, we eliminate both the largest and smallest AIM companies to focus on typical AIM companies. These eliminations are based on a histogram of the average size (natural logarithm of the 4 years' average market value) of the AIM companies in our sample. The upper cut-off is 18.5 or approximately £108 million, and the lower cut-off is 15 or approximately £3 million. The two exclusions reduce the market reaction sample by 60 and 78 companies, the audit quality sample by 44 and 57 companies, and the audit fees sample by 60 and 79 companies, respectively. However, even after eliminating these companies, the results remain comparable in signs and statistical significance.

In additional analyses, we also rerun our DiD models using a control sample of US firms listed on the NYSE, NASDAQ, or AMEX. The results using a US-matched control sample are presented in Table S7 of Appendix S1. We match individual US companies, without replacement, to our AIM companies based on size, profitability (ROA), and industry using a propensity score matching method.³² In brief, when relying on a US-matched control group, we do not find evidence of a significant change in investor reaction around the adoption of the expanded audit report regulation for AIM companies. However, there is a marginal increase in audit quality. Next, the analyses of audit fees indicate no change when using industry fixed effects and an increase when using firm fixed effects. Thus, our audit quality and audit fee results are sensitive to the control sample choice. We conclude that there is no robust evidence that the adoption of expanded reports by AIM companies had substantial consequences for investors or auditors.

5.4 | Alternative dependent and independent variable definitions

As part of sensitivity analyses, we draw from prior literature and employ alternative specifications for some dependent and independent variables. For our main analyses, we use seven alternative proxies for abnormal volume (*ABVOL1* through *ABVOL7*, defined in the Appendix). We find that the coefficient on *POST*×*AIM* is negative and marginally significant at the 10% level for *ABVOL4* in our DiD specification and the coefficient on *POST* is positive and marginally significant at the 10% level for *ABVOL2* in our pre-post specification. Thus, the results suggest some sensitivity to the definition of abnormal volume. We further use four alternative proxies for audit quality: signed discretionary and total accruals, and signed and absolute performance-adjusted discretionary accruals (*ACCRI* through *ACCR4*, defined in the Appendix). In the DiD specification and the pre-post specification, we find no significant association between the adoption of the expanded audit report and audit quality, regardless of which alternative dependent variable we use. Thus, our findings are not sensitive to these definitions of audit quality.

³²Although the procedure allows us to select a control sample that is comparable to the AIM companies on these dimensions, the two subsamples do not share the same economic, legal, or regulatory environment.

In the external monitoring analyses, we use three alternative specifications for industry specialist (*INDSPEC_DUM1* through *INDSPEC_DUM3*, defined in the [Appendix](#)).³³ The alternative specifications produce results that are comparable in sign and statistical significance to our Main Market reaction analyses. For the audit quality and audit fee analyses, *INDSPEC_DUM3* results in a positive and significant coefficient on the interaction with *POST*. However, this finding is not robust to calculating standard errors using bootstrap. In addition, we use two alternative specifications of *GOV_DUM* (*GOV_DUM1* and *GOV_DUM2*, defined in the [Appendix](#)). The results from these alternative specifications are comparable to the ones in the main analyses.

6 | CONCLUSION

The UK FRC mandated the adoption of expanded audit reports in two waves, starting in 2013 and 2017. We focus on the consequences of expanded reports for the second wave of companies that included small and risky companies listed on the AIM. We do not find evidence that, on average, expanded reports are associated with changes in the informativeness of annual reports, audit quality, and audit fees. Although we find some evidence that variation in expanded report content (i.e., report length, number of KAMs, and materiality) may be relevant for investors and auditors in the AIM, we do not find that the AIM's monitoring mechanisms systematically alter the consequences of expanded reports. Our study is among the first to examine the role of expanded audit reports in a growth market. We also examine the incremental effects of governance-related characteristics for the consequences of expanded reports.

Our study faces some inherent limitations. First, we employ a non-standard DiD design. Premium companies had expanded reports throughout our sample period, whereas AIM companies adopted them after July 2017. Although there is prior evidence that the initial adoption of expanded reports (after September 2013) had minimal consequences, we provide more recent evidence that expanded reports did not have incremental consequences for Premium companies. Second, AIM companies do not have a perfect control group, so we use DiD tests with UK Premium and US companies as benchmarks, along with separate pre- and post-2017 examinations of AIM companies. Third, although our examination of the trends in the pre-2017 period does not reveal that managers, investors, or auditors of AIM companies changed their behavior to preempt the regulatory changes, and helps to substantiate the DiD parallel-trend assumption, complete mitigation of these concerns is infeasible. Fourth, the lack of statistical significance in some of our tests does not provide positive evidence that expanded reports had no consequences. Fifth, it is difficult to determine the information set available for AIM companies and whether investors could infer KAMs from sources outside of the annual financial statements. Finally, although AIM and Premium companies follow the same financial reporting and auditing standards (beyond the expanded report requirements), AIM companies have a different information environment and exhibit substantial variation in company size and external monitoring. Collectively, our findings help to generalize the conclusions from prior studies about the negligible incremental value of expanded audit reports.

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³³Notably, the construction of *INDSPEC_DUM* is not driven by the Big 4's Premium market shares. Based on the different specifications of *INDSPEC_DUM*, we classify several non-Big 4 auditors as specialists in the AIM, including Grant Thornton, BDO, Crowe, Jeffreys Henry, RSM, and Baker Tilly.

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DATA AVAILABILITY STATEMENT

Original data are available from public sources cited in the text, and the final data and code to generate the results are available from the authors upon request.

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SUPPORTING INFORMATION

Additional supporting information can be found online in the Supporting Information section at the end of this article.

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APPENDIX: VARIABLE DEFINITIONS AND SOURCES

Variable	Definition	Source
<i>ABS_ABRET</i>	Absolute cumulative 3-day abnormal returns calculated on days $[-1, +1]$ of the annual report filing. Each day returns are the company returns $= (RI_t - RI_{t-1})/RI_{t-1}$ minus same-day returns for the LSE value-weighted portfolio. <i>RI</i> corresponds to Datastream Return Index	Datastream
<i>ABVOL</i>	Natural logarithm of company's mean event-period volume scaled by the company's mean estimation-period volume. Event-period volume equals the daily volume on days $[0, +1]$ of the annual report filing scaled by shares outstanding. Estimation-period volume is measured over the period $[-61, -21]$ trading days before the earnings announcement date	Datastream
<i>DACCR</i>	Absolute discretionary accruals based on the Jones model including <i>ROA</i> , scaling all variables by average total assets	Worldscope
<i>ACCR1</i>	Signed discretionary accruals based on the Jones model including <i>ROA</i> , scaling all variables by average total assets	Worldscope
<i>ACCR2</i>	Total accruals calculated as net income before extraordinary items minus cash flow from operations, scaled by average total assets	Worldscope
<i>ACCR3</i>	Signed discretionary accruals adjusted for a performance-matched firm's discretionary accrual, where matching is on the basis of a firm's <i>ROA</i> and two-digit SIC	Worldscope
<i>ACCR4</i>	Absolute performance-adjusted discretionary accruals	Worldscope
<i>FEES</i>	Natural logarithm of audit fees	Annual reports
<i>POST</i>	Indicator variable equal to one if the company's fiscal year ends on or after July 2017, and zero otherwise	Annual reports, Worldscope
<i>AIM</i>	Indicator variable equal one if the company is listed on the AIM market, and zero otherwise	LSE
<i>ABVOL1</i>	Sum of the 3-day trading volume scaled by common shares outstanding among all listed companies for the period $[-1, 1]$ surrounding the filing date of the annual financial statements	Datastream
<i>ABVOL2</i>	Abnormal trading volume during the $[-2, +2]$ day window surrounding the annual report filing date computed by taking the firm's logged share turnover less logged share turnover from the LSE market volume	Datastream
<i>ABVOL3</i>	The firm's daily turnover calculated as the firm's volume on that day divided by its shares outstanding (i.e., the percentage of outstanding shares traded on any particular day) less the market-wide turnover calculated the same way, but across all LSE stocks. Next, we measure event turnover as the average daily market-adjusted turnover across our event window $[t - 1, t]$ and subtract trading activity over nonevent period from the above measure of event turnover. The pre-event window is $[t - 54, t - 5]$	Datastream
<i>ABVOL4</i>	Mean-adjusted abnormal volume is the firm's logged % of shares traded during the event window $[-1, +1]$ less the logged average % of shares traded over an estimation period. Before the log transformation, we add 0.000255 to prevent taking the log of zero in the case of zero trading volume on a given day. One-half of the estimation period is drawn from the period prior to the event window and the other half is drawn from the period after the event window	Datastream

(Continues)

APPENDIX (Continued)

Variable	Definition	Source
<i>ABVOL5</i>	Standardized unexpected volume (<i>SUV</i>), calculated as a standardized prediction error from a univariate model of trading volume on the absolute value of returns for the <i>j</i> th event announcement made by firm <i>i</i> : $(4) SUV_{it} = UV_{it}/S_{it}$ $(5) UV_{it} = Volume_{it} - E(Volume_{it})$ $(6) E(Volume_{it}) = \alpha_i + \beta_1 \times R_{+it} + \beta_2 \times R_{-it}$ The plus and minus superscripts on the absolute valued returns indicate when returns were positive or negative. <i>S</i> is the standard deviation of the residuals from the regression, calculated over the model's estimation period [<i>t</i> − 54, <i>t</i> − 5]	Datastream
<i>ABVOL6</i>	Market model abnormal trading volume is $v_{it} = V_{it} - (\alpha_i + \beta_1 \times V_{mt})$, where α_i and β_1 are obtained via OLS, and <i>V_{mt}</i> is the market volume, calculated for event window [−1, +1]	Datastream
<i>ABVOL7</i>	Natural logarithm of the ratio of a firm's mean event-period volume to the firm's average estimation-period volume. The event-period volume is the daily volume for a firm on the 2-day window beginning on the firm's event date scaled by its shares outstanding during the event period. The estimation-period volume is measured over the calendar period beginning 61 days before the earnings announcement date and ending 40 days later (i.e., 21 days before the earnings release)	Datastream
<i>LENGTH</i>	Indicator variable equal to one if the number of words in the audit report during at least 1 year after the regulatory change is above the post-period median for all sample firm-years, and zero otherwise	Annual reports
<i>NKAMS</i>	Indicator variable equal to one if the number of KAMs included in the expanded report during at least 1 year after the regulatory changes is higher than the post-period median for all sample firm-years, and zero otherwise	Annual reports
<i>NKAMSAUD</i>	Indicator variable equal to one if the number of KAMs included in the expanded report but not discussed in the audit committee report during at least 1 year after the regulatory changes is higher than the post-period median for all sample firm-years, and zero otherwise	Annual reports
<i>MATPERC</i>	Materiality amount/total assets	Annual reports, Worldscope
<i>MATERIALITY</i>	Indicator variable equal to one if the <i>MATPERC</i> during at least 1 year after the regulatory changes is larger than the post-period median for all sample firm-years, and zero otherwise	Annual reports, Worldscope
<i>NOMAD</i>	Indicator variable equal to one if the market share of an AIM company's adviser is larger than the median market share for all AIM advisers, and zero otherwise	LSE
<i>BIG4_DUM</i>	Indicator variable equal to one if, in the year following the regulatory change (year <i>t</i>), the company had a Big 4 auditor, and zero otherwise	
<i>INDSPEC_DUM</i>	Indicator variable equal to one if, in the year following the regulatory changes, the company has an auditor that audits more than 30% of the total assets in the company's industry (based on two-digit SIC), and zero otherwise	Worldscope
<i>INDSPEC_DUM1</i>	Indicator variable equal to one if in the first year following the regulatory change the company's auditor receives more than 30% of the AIM audit fees in the company's industry, and zero otherwise	Annual reports

APPENDIX (Continued)

Variable	Definition	Source
<i>INDSPEC_DUM2</i>	Indicator variable equal to one if in the first year following the regulatory change the company is audited by one of the top three auditors in its industry based on AIM total assets, and zero otherwise	Worldscope
<i>INDSPEC_DUM3</i>	Indicator variable equal to one if in the first year following the regulatory change the company is audited by one of the top three auditors in its industry based on AIM total fees, and zero otherwise	Annual reports
<i>GOV_DUM</i>	Indicator variable equal to one if, in the year following the regulatory changes (year t), the company states that it “follows” or “follows to an extent” the UK CGC. If the company does not mention the code that it follows, or follows only the QCA Code, the variable is coded as zero	Annual reports
<i>GOV_DUM1</i>	Indicator variable equal to one only if a company follows the UK CGC without qualifications, and zero otherwise	Annual reports
<i>GOV_DUM2</i>	Categorical variable equal to zero if the company does not mention a CGC or follows the QCA Code, equal to one if the company follows the UK CGC “to the extent appropriate for its size and operations,” and equal to two if it follows the UK CGC without qualifications	Annual reports
<i>SIZE_DUM</i>	Indicator variable equal to one if the natural logarithm of total assets for the firm is larger than the median for all AIM firms in the year following the regulatory change (year t), and zero otherwise	Worldscope
<i>EXIT</i>	Indicator variable equal to one if the firm delists at time $t + 1$, and zero otherwise	LSE website
<i>ABRET_EAR</i>	Absolute value of the cumulative 3-day absolute abnormal returns around the earnings release date in year t . Abnormal returns are the company daily returns less the same-day returns for the LSE value-weighted portfolio	Datastream
<i>BETA</i>	Slope coefficient from regressing the daily return on the company’s stock on daily returns of the value-weighted portfolio for a 220-day period starting 250 days before and ending 21 days before the filing of the annual financial statements in year t	Datastream
<i>BIG</i>	Indicator variable equal to one if the company has a Big 4 auditor (Deloitte, EY, KPMG, or PwC), and zero otherwise	Annual reports
<i>BUSY</i>	Indicator variable equal to one for fiscal year-ends between December and March, and zero otherwise	Annual reports, Worldscope
<i>CHNI</i>	Change in net income before extraordinary items between years t and $t - 1$, scaled by total assets for year $t - 1$	Worldscope
<i>CFO</i>	Operating cash flows scaled by total assets	Worldscope
<i>FORSALE</i>	Sales outside the United Kingdom scaled by total sales	Worldscope
<i>GCO</i>	Indicator variable equal to one if the audit report includes a going concern paragraph, and zero otherwise	Annual reports
<i>INST_OWN</i>	The natural logarithm of (1 + percentage of shares of the firm held by brokerage firms, funds, institutions, and investment managers)	Refinitiv Eikon Ownership
<i>INV</i>	Inventory scaled by total assets	Worldscope
<i>LAG</i>	Number of days between earnings announcement and release of the annual report	Regulatory News Service
<i>LAGACCR</i>	Total accruals for year $t - 1$ (equal to net income before extraordinary items + depreciation/amortization – cash flow from operation) scaled by total assets	Worldscope
<i>LEV</i>	Long-term debt scaled by total assets	Worldscope
<i>LOGMKT</i>	Natural logarithm of company market value	Worldscope

(Continues)

APPENDIX (Continued)

Variable	Definition	Source
<i>LOSS</i>	Indicator variable equal to one if <i>ROA</i> is negative, and zero otherwise	Worldscope
<i>MTB</i>	Market value/book value	Worldscope
<i>NPAGESANN</i>	Total number of pages in the annual report	Annual reports
<i>NPAGESAUD</i>	Total number of pages in the audit report	Annual reports
<i>NWORDS AUD</i>	Total number of words in the audit report	Annual reports
<i>PERC_KAM</i>	Number of words in the KAM section of the audit report/ total number of words in the audit report	Annual reports
<i>PERCKAMS_AC</i>	Percentage of matters that overlap in both audit report and audit committee report	Annual reports
<i>REC</i>	Receivables scaled by total assets	Worldscope
<i>KAM_NWRDS</i>	Natural logarithm of the number of words in the risks section of the audit report	Annual reports
<i>ROA</i>	Net income before extraordinary items scaled by total assets	Worldscope
<i>SALEVOL</i>	Standard deviation of sales over a 7-year period ($t - 6$ to t)	Worldscope
<i>SIZE</i>	Natural logarithm of total assets	Worldscope
<i>USLIST</i>	Indicator variable equal to one if the company is cross-listed on the NYSE, AMEX, or NASDAQ, and zero otherwise	ADR database of Bank of NY Mellon
<i>IndustryFE</i>	Fixed effects based on one-digit SIC codes	Worldscope